FIN-007 · Personal finance

Vehicle finance comparison

Replace the sample figures before you rely on the result.

A lower monthly figure can still cost more if the term is longer. Offer A finances R169,900 at 11.75% over 72 months. Offer B finances R174,900 at 9.9% over 60 months. Fees, balloon payments, insurance, and residual values are not in this model.

How to use the workbook

1. Replace price, deposit, rate, and term with the figures on each offer.
2. Leave the formula rows alone.
3. Compare monthly repayment and cost of finance together.
4. Ask the provider for the total cost of credit before you sign. This sheet is not that disclosure.

Worked example

Offer A monthly estimate is R3,299.53.

- Offer B monthly estimate is R3,707.51.
- Offer B is higher each month because the term is shorter and the amount financed is higher.
- The cost of finance row is the extra you pay above the amount financed, before fees.

A practical routine

- Get the rate in writing.
- Add insurance and fuel outside this workbook before you decide you can afford the car.
- If there is a balloon, do not use this sheet unchanged.

This workbook organises figures you type in. It is not financial, credit, insurance, or tax advice. Rates, fees, and laws change. A qualified adviser should review decisions that affect debt, tax, medical cover, or retirement.